funds, but the withdrawal is sticky, so it occurs over several periods. As a consequence of the flows, funds sell assets, and this further depresses prices. Eventually prices dip below fundamental values, expected returns eventually rise, and flows come back into the funds originally dumping the stocks. Consistent with delegated portfolio management being behind momentum effects, we see momentum in every large, liquid asset class: stocks, bonds, commodities, and currencies.[49] These asset classes are where institutions dominate. But we do not observe momentum in over-the-counter stock markets, where individuals dominate and where there are few institutional investors, as Ang, Shtauber, and Tetlock (2013) show.

Principal-agent issues are pervasive, and having good governance or good structures to mitigate agency issues are comparative advantages that an asset owner should capitalize on. An asset owner with the ability to stay the course, with a board that can support a manager over the long haul, or a board that is in a position to collect risk premiums cheaply, does not look like the average investor. These investors can harvest the various factor risk premiums outlined in chapter 7 and are good candidates for factor investing. In fact, trying to harvest certain factor risk premiums such as volatility, which involve disastrous drawdowns once every decade or so, without good governance structures can destroy institutions when losses occur. Many institutions should envy CPPIB, which has independence enshrined by law, a board that trusts the manager, a factor approach, the ability to hire and pay the best people, and can partner with the best managers in the world.

Large investors might be in a position to choose not to be part of the herd. Some part of herding is caused by many investors having the same explicit or implicit contracts. These investors can choose factor benchmarks other than the common S&P 500 or similar long-only market-weighted benchmarks. In doing so, these special asset owners provide liquidity to, and reap liquidity premiums from, those investors forced to rebalance to standard indices. Naturally this requires a degree of internal maturity and trust between principal and agent and, by definition, a type of high-quality principal-agent relation that the average investor does not possess.

6. New York State Common Retirement Fund Redux

Clearly having just one person in charge of the vast assets of NYSCRF is not optimal. As a *New York Times* editorial said, "What the comptroller's office needs is an independent, financially savvy board of directors to approve the awarding

[49] See Asness, Moskowitz, and Pedersen (2013).